

stay AAA? Keep in mind that the larger the bear market, the greater the percentage of issues that will fail. The 1930s crisis reflected a social mood swing of only Supercycle degree, and its attendant problems were only of that magnitude. The coming mood swing will be of Grand Supercycle degree, and problems will be correspondingly severe. How many corporate or government issues will you be confident enough to own in such an environment? It might be prudent to go down the list and explore the outlook for the various classes of bonds.

Municipal Bonds

After the 1990-1991 recession, confidence returned to the bond market, and state and local governments took advantage of the renewed demand by issuing securities in an unprecedented borrowing binge. States and cities have sold an average of \$260 billion worth of bonds in the past four years, over triple the 1980-1981 rate. The all-time annual record was \$338.8 billion worth in 1993. Local government borrowing has continued right through early 1995 despite higher rates because investors have continued to pour money into municipal bond funds, oblivious to risk. Many municipalities have invented big new projects as if there is no end in sight to prosperity and production to pay for the new debt on top of the old, while others are on the brink of insolvency and are selling bonds because they are in trouble.

The complete lack of fear in the market for these bonds is revealed by the extremely small difference between muni bond yields and Treasury bond yields. Investors clearly view state and local governments and the federal government as *equally safe* issuers of debt. Yet the number of potential disaster cases among municipalities is greater than people realize. In the 1990s, they have been operating at a total annual deficit of \$30b.-\$50b. according to figures published by the International Strategy and Investment Group (see Figure 16-14), and a recession will swell that figure substantially. The fact that half of the states' unemployment funds have only several months' reserve underscores that opinion. Local governments are the most precarious issuers of debt, and one of the most prolific. When the depression arrives, municipalities will have their backs to the wall, and many will default.

One of the most dangerous classes of tax-exempt municipal bonds are so-called "certificates of participation," or COPs. Investors have purchased billions of dollars worth of these instruments,